

MSCI

352:

Negotiation

Reflective Report

Avondale, Game 11

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CONTENTS

A2- How did you go about securing a portion of the additional funds to support the expansion of your hospital? What persuasion techniques and/or pricing strategies did you use?*	2
Internal vs External Locus of Control (LOC).....	2
‘Letting the Numbers Do the Talking’	3
‘Micro-negotiation’	4
B3- How did your personality, and the personalities of others in your game, influence the game and outcome?*	4
Personal Reflection (Theory vs Practice).....	4
Group Reflection.....	5
CCG Relationship Reflection.....	5
*Appendix	6

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"Most people spend more time and energy going around problems than in trying to solve them." - Henry Ford

A2- How did you go about securing a portion of the additional funds to support the expansion of your hospital? What persuasion techniques and/or pricing strategies did you use?*

Internal vs External Locus of Control (LOC)

We managed to secure a portion of the additional funds and ultimately ended up with a pretty good deal on paper, however to avoid any cognitive bias, I want to first disclose I believe this was partly thanks to Bridges' mistake of opening infeasible wards, and CCG's overspending as a consequence of that- which was categorically good luck. Otherwise, we did not get much bad luck but there are things we could have done better.

Outcomes of most decisions in business and life are a function of internal and external factors (such as luck). It is responsible to take accountability for the positive and negative consequences of your own actions (*within* your LOC), but also to realise the possible external influences to the outcome that were out of your control, or were simply 'too hard' for you to manage (*outside* your LOC).

The strokes of good luck we had with Bridge helped us- infeasibly planning to open two wards by mistake created confusion in both CCG's and Bridge's figures during a critical phase of the negotiation, which caused them to fall into the trap of overspending and 'subsidising' both hospitals. During the final negotiation this gave us freedom to move upwards from the prenegotiated anchor we placed during informal meetings, to offset our losses of £-75,000 and £-40,000 in GS and PHA due to discounted prices, with a £122,000 GM surplus- resulting in a minimised total surplus of £7,000.

However retrospectively we still had space to negotiate a better deal, which was a missed opportunity. With sharper skills such as assertiveness, or proactivity rather than reactivity, we could have taken better advantage of the situation, and negotiated a larger portion of the additional funds for GM and GS (*negotiation skills and personalities during the final negotiation are discussed further in section B3*).

‘Letting the Numbers Do the Talking’

As a group we did well analysing the model and calculating a pretty good ‘win-win’ scenario. Ultimately we came quite close to the ‘best’ scenario for Avondale (*figure 1 below*), largely thanks to our group members’ collective technical Excel skills, leveraging the DSS model. The introduction of the model initially made me keen to take an analytical role rather than an active speaking role during negotiations, but our roles ended up being more fluid- *more on this in section B3 ‘personality’*.

Avondale Scenario	GM	GS	PHA
Final	5,500	4,600	600
‘Best’	5,550	4,650	200
Prelim Bid	5,779	5,609	500
Penultimate*	5,450	4,500	500

Figure 1

Our initial contract bid proposed at the prelim* was extremely optimistic, basically asking for a calculated absolute maximum amount of wards and funding we had capacity for (*figure 1*)- we quickly came to a mutual realisation with CCG that this was very unrealistic and it was basically disregarded by both parties, especially since this was our first meeting.

We soon began having informal meetings* with CCG before the final negotiation, however the prelim discouraged us from continuing with the initial bid as an extreme anchor point, and we decided to not attempt to push for such a maximalist position. I think these meetings showed us all that we were prepared to take this process seriously and honestly.

Our strategy was to calculate a fair, optimum middle ground with CCG, and to come to a civil ‘win-win’ agreement efficiently without aggressive tactics, instead adjusting the model’s parameters live while negotiating- *‘letting the numbers do the talking’*. Our informal negotiations were fairly neutral and diplomatic, which helped build a relationship of trust.

Because apparently CCG-Bridge meetings luckily didn't seem to be going very fruitfully, we didn't get much indirect pushback from Bridge. In the final we managed to maintain a dominant episode increase ratio of 58:42 compared to them, close to the 60:40* figure we discussed and ‘anchored’ in the prelim with CCG. This made it easy for us to settle on a rough ballpark for the contract in penultimate meetings (*figure 1*), ready for the final negotiation.

‘Micro-negotiation’

This ‘pre-agreement’ may have been a bad idea though. Because of this set anchor point without preparing fallback options, we weren't flexible or prepared enough for change. This explains the ‘micro-negotiations’ during the final (*between 32-40 minutes on the recording*). We attempted to strategically propose attractive prices for GM episodes in the 5600-5700 region, however we struggled to make the numbers work, and we too easily yielded to CCG's proposed reductions.

As a result the final negotiation was instead more of a tedious finalising process to settle on a final, exact set of numbers which maximised our wards and minimised our surplus while keeping it as close to £20k as possible. Alternatively, we could have tried to *solve the problem* by proposing other ideas, rather than *spending time going around it* with micro-negotiations.

B3- How did your personality, and the personalities of others in your game, influence the game and outcome?*

Personal Reflection (Theory vs Practice)

Certain personality traits, such as assertiveness, charm, or even manipulativeness, make someone better at communicating and getting what they want in social environments such as a corporate negotiation. While some people are inherently that way, these skills can be learned.

I chose this module to not only gain valuable *theoretical* knowledge about negotiation and decision support processes, but also to gain first-hand *practical* experience and personal development in these traits/skills, recognising that negotiation as a skill has utility stretching far beyond just business into many aspects of social life.

The practical nature of this module gave me the opportunity to ‘pressure-test’ and sharpen my social skills in a simulated high-stakes business environment, with real, unpredictable people- and to work as a team to reach a common ground with other parties where ‘money’ and grades are at stake.

During this game I reflected on psychological theories of how personalities influence the dynamic in negotiations. This reflection came from observing how people with different personalities operate, what kinds of dynamics can be created, and how they can look; as well as notice how differently people would act than I would have given the same circumstances, and how to react to their strategies.

Ultimately, upon reflection, the game also influenced my personality to some extent.

Group Reflection

The members in our team seemed to share some key personality traits. We all:

1. were keen to do well in this game and enjoyed it;
2. thoroughly analysed and familiarised ourselves with the model to our advantage to prepare optimal solutions;
3. had no real disagreements overall.

Also as previously mentioned, we didn't end up keeping strict 'roles'. Initially I proposed to my group I could manage the Excel side of the DSS model rather than the 'talking' side of meetings as I felt that was my strength, however we ended up all equally involved in analysing it. We made sure to work on tasks together rather than separately, and we each made an effort to talk during meetings. I think this made us more 'streamlined', and made brainstorming and making informed tactical and strategic decisions easy.

None of us were willing to be deceptive or unfair, but we also realised we shouldn't be too honest and lay all of our cards on the table. We did hide some information from the CCG- particularly, we initially showed disinterest in PHA or HindleTech Silver/Gold despite knowing they would be valuable and worthwhile for CCG, as we realised these were the least valuable expansions for us and we could get them 'too easily' compared to specialty ward expansions. Getting Platinum, and maximising GS and GM were our strategic priorities.

During negotiations I think our group members we were a bit too 'polite' and agreeable, and none of us were assertive or charming enough to push for more GS while avoiding PHA, and eventually gave in when they offered more GM and PHA in place of GS, even though they had enough budget. I think our group found it harder to say 'no' than CCG, as we were being too 'understanding' by prioritising their optimal route equally as our goals. This 'soft' approach potentially prevented GS expansion, as they simply shut us down after we asked for more GS in place of GM, despite them having the capacity for it (*'is this not an optimal route for you guys?' [...] No. I understand.'* 37:40-38:10*).

CCG Relationship Reflection

We developed our relationship with CCG over multiple informal meetings and realised that their personalities and goals were relatively aligned with ours. They didn't seem aggressive, overly charming or manipulative, and seemed to also want to genuinely collaborate and reach a fair, common consensus built on trust without maximising their own gain at our loss.

Crucially however, they seemed to say 'no' more easily than us, which put them in a more proactive, powerful role in the game. Perhaps this came from their position as the commission with the choice to choose to give us funding or not, but this trait that they had is a key takeaway for me upon reflecting on the relationship we built with them.

We didn't develop such a relationship with Bridge, but from their actions we noticed they seemed less organised, turned up late to meetings and made critical mistakes- their contract outcome compared to ours seems to confirm this.

*Appendix

References to the final negotiation are timestamped; full transcripts and recordings for informal and prelim meetings are available, however it would have been impractical to attach hours of additional mp3 files and tens of pages of transcript documents to this assignment

NOTE ON TOPIC INTERPRETATION:

A2- I interpreted the question to generally evaluate the outcome and how well our game went, including:

- what **we** did
- what the **other groups** did
- and how these **internal/external influences** affected the outcome for us, and to what extent we **managed** external influences.

I also reflected on:

- thought processes of our decisions
- what we did **well** and what we could have specifically done **better** (linking to personality points in **B3**)
- theoretically analysing our **persuasion techniques** and **pricing strategies**.

this section also partly comments on the strengths, weaknesses and limitations of the **DSS model (B4)**

B3- In this question I reflect on:

- how personality influences situations like this **generally**, and in real life
- how it specifically influenced **our game** and outcome
- what **I learnt** from this game, specifically regarding the influence of the psychology of personalities on the dynamic in negotiations and shared decision making.

This section also partly comments on questions **B5** and **B6**, discussing strengths, weaknesses, limitations and implications of business games like these for learning the intended skills.

B3 How your personality and the personalities of others in your game, influenced the game and outcome

B4 A critical assessment of the strengths, weaknesses and limitations of the DSS model

B5 A critical assessment of the strengths, weaknesses and limitations of the Crossbay Negotiation Game

B6 A discussion of business games for learning skills and the implications for the Crossbay Game